

America and Japan. We felt that if these sort of big events had happened before, they could happen again. We also believed that fully comprehending these events was important to understanding how economies and markets worked.

Eight years before the deleveraging that began in 2008, we had developed and implemented what we call a *depression gauge*. It was designed to indicate when a depression-like environment was in effect based on a number of conditions coinciding, such as interest rates below a certain low level, contractions in private credit growth, a declining stock market, and widening credit spreads. We knew that when the depression gauge was on, we would have fewer reliable indicators, with some indicators being impacted more than others. For example, if interest rates are near zero, obviously, they can no longer be used as a viable indicator. We ran simulations of how our systems would have performed through both inflationary and deflationary deleveragings. If the depression gauge is triggered, our system rules and risk constraints are adjusted to fit the circumstances of a deleveraging period.

It was obvious in 2008 that investors were heavily leveraged in carry trade positions—that is, they had bought higher-yielding assets funded by shorting lower-yielding assets. These positions would have to be unwound when the credit bubble popped. We also could see that the banks had leveraged up rapidly and carelessly. We anticipated they would have large losses because, by reviewing their 10Ks, we knew the types of positions they held. By applying indicative pricings, we could mark their balance sheets to the market, which gave us insights into the negative implications for the economy and other markets. In short, by knowing how deleveragings occur, we could monitor the appropriate factors, and by understanding the cause-and-effect relationships in a deleveraging, it was not difficult to be well positioned in 2008.

Besides being well prepared to trade through a deleveraging, we also didn't have the same vulnerability to a year like 2008, as most hedge funds did, simply because the inherent structure of our Pure Alpha strategy avoids embedded betas. In contrast, most hedge funds mix betas and alpha. The truth about hedge funds is that much of what is packaged as alpha is really beta sold at alpha prices. The average hedge fund is